



Practo: Driving GMV Growth in India's Digital Healthcare Marketplace

Context

India's healthcare ecosystem is highly fragmented. Millions of patients struggle with discovering the right doctor, booking appointments efficiently, and managing their health records across providers.

At the same time, healthcare providers, from independent clinics to large hospitals face operational challenges such as patient acquisition, appointment scheduling, and digital infrastructure.

Founded in 2008, **Practo** aims to solve these challenges by building a digital platform that connects patients with healthcare providers.

Today, Practo operates across multiple healthcare services including:

- Doctor discovery
- Appointment booking & In-Person Consultations
- Online consultations

Practo has built one of India's largest healthcare marketplaces with:

- Millions of patients using the platform
- Hundreds of thousands of healthcare providers listed
- Presence across multiple Indian cities and international markets

Practo's Business Model

Practo operates as a **two-sided marketplace** connecting patients with healthcare providers.

For Patients

Practo provides services **free of cost**, including:

- Discovering doctors
- Booking clinic appointments
- Booking diagnostic tests

However, for **online/video consultations**, patients are directly charged a consultation fee on the platform.



For Providers (Doctors, Clinics, Hospitals)

Healthcare providers pay Practo through multiple monetization models such as:

- Commission on appointments/tests/surgeries booked via Practo
- Subscription fees for practice management software
- Advertising and visibility packages
- Commission on online consultations

Key Business Metrics

Two metrics are particularly important for Practo's marketplace economics.

1. Gross Merchandise Value (GMV): GMV refers to the **total value of healthcare transactions facilitated through the Practo platform**.

Examples which contribute to the GMV include:

- Consultation fees for doctor appointments
- Online consultation payments
- Diagnostic test bookings
- Healthcare services booked through Practo

Higher GMV indicates that **more healthcare transactions are happening through the platform**.

2. Take Rate: Take rate refers to the **percentage commission Practo earns from transactions happening on the platform**.

*For example: If a patient books a ₹1,000 consultation and Practo earns ₹150 commission, the **take rate is 15%**.*

Practo's revenue therefore depends on: $\text{Revenue} = \text{GMV} \times \text{Take Rate}$

GMV Segmentation by Type of Healthcare

Healthcare transactions on Practo can be further segmented into three categories, each with distinct characteristics and revenue models:

1. Primary Healthcare (High Volume, Low Value)

- Includes: General physician consultations, basic diagnostics, first-level care
- Typically high-frequency, lower ticket size interactions
- Practo primarily earns via **flat fees charged to hospitals/clinics** for in-person consultations



Illustrative Example:

- Average consultation value: ₹500
 - Practo charges a flat fee of ₹50 per booking to the clinic
 - **Revenue to Practo per transaction = ₹50**
 - Implied take rate $\approx 10\%$
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2. Secondary Healthcare (Medium Volume, Medium Value)

- Includes: Specialist consultations, advanced diagnostics, non-critical procedures
- Moderate frequency and ticket size
- Practo typically operates on a **take rate (commission) model**

Illustrative Example (Per Transaction):

- Average transaction value: ₹3,000
 - Practo charges a 15% commission
 - **Revenue to Practo per transaction = ₹450**
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3. Tertiary Healthcare (Low Volume, High Value)

- Includes: Complex procedures, surgeries, hospitalizations
- Low frequency but very high transaction value
- Practo earns via a **take rate (commission) model**, making this a **high GMV contributor despite low volume**

Illustrative Example (Per Transaction):

- Average procedure value: ₹2,00,000
 - Practo charges a 10% commission
 - **Revenue to Practo per transaction = ₹20,000**
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Strategic Challenge & Problem Statement

Over the last decade, Practo has successfully built consumer trust and strong doctor supply on the platform. However, healthcare spending in India is still largely offline, and many patient journeys do not



pass through digital platforms like Practo. As a result, Practo's leadership is constantly exploring ways to increase the total value of healthcare transactions occurring on its platform.

This is critical because **higher GMV leads to higher platform revenue** and stronger ecosystem lock-in.

Problem Statement

You are part of the **Strategy Team at Practo**. Your task is to identify **practical and scalable ways to increase GMV on the Practo platform in India**.

Your recommendations should focus on:

- Increasing the **volume of healthcare transactions happening through Practo**
- Increasing the **value of transactions facilitated by Practo**
- Unlocking **new healthcare use cases that drive meaningful GMV**
- Identifying opportunities across **Primary, Secondary, and Tertiary** healthcare segments

Your solutions must be **practical, grounded in healthcare realities, and scalable**. Avoid speculative or overly futuristic ideas.

Deliverables & Evaluation Criteria

Students must submit a clean presentation covering:

- Top **3–5 practical GMV growth opportunities and their estimated impact on GMV**
- Implementation roadmap for the next 12-24 months along with potential risks and mitigants

Evaluation Criteria

Submissions will be evaluated based on:

- First-Principles thinking and clear, structured problem solving
- Practicality of ideas which are realistic and implementable.
- Depth of Healthcare Understanding:
 - Evidence of contextual thinking about India's healthcare ecosystem.
- Business Impact: Potential to meaningfully increase GMV
- Quality of Presentation Deck
